

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE 06 MONTHS PERIOD ENDED SEPTEMBER 30, 2024

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 SEPTEMBER 2024

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2024 Rs.000	2023 Rs.000	2024 Rs.000	2023 Rs.000
Revenue	4,403,682	3,124,403	4,403,682	3,124,403
Cost of sales	(3,357,520)	(2,332,921)	(3,357,520)	(2,332,921)
Gross profit	1,046,162	791,482	1,046,162	791,482
Other income	3,010	22,905	3,010	22,905
Distribution expenses	(195,385)	(148,063)	(195,385)	(148,063)
Administrative expenses	(109,225)	(116,491)	(109,225)	(116,491)
Profit from operations	744,562	549,833	744,562	549,833
Finance income	102,356	283,002	102,356	283,002
Finance expenses	(87,490)	(4,613)	(87,490)	(4,613)
Net finance income	14,866	278,389	14,866	278,389
Share of loss on equity accounted investee, net of tax	(179)	(1,504)	-	-
Profit before tax	759,249	826,718	759,428	828,222
Income tax expense	(235,156)	(211,925)	(235,156)	(211,925)
Profit for the quarter	524,093	614,793	524,272	616,297
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income , net of tax	-	-	-	-
Total comprehensive income for the quarter	524,093	614,793	524,272	616,297
Earnings per share -Rs.	24.04	28.20	24.05	28.27
Market value per share				
Highest price-(Rs.)			315.00	358.00
Lowest price-(Rs.)			270.00	257.00
Last traded price-(Rs.)			308.00	290.00
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the 06 months period ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2024 Rs.000	2023 Rs.000	2024 Rs.000	2023 Rs.000
Revenue	8,273,584	6,451,144	8,273,584	6,451,144
Cost of sales	(6,346,231)	(4,896,121)	(6,346,231)	(4,896,121)
Gross profit	1,927,353	1,555,023	1,927,353	1,555,023
Other income	4,406	39,088	4,406	39,088
Distribution expenses	(375,629)	(312,158)	(375,629)	(312,158)
Administrative expenses	(207,971)	(227,418)	(207,971)	(227,418)
Profit from operations	1,348,159	1,054,535	1,348,159	1,054,535
Finance income	224,999	266,703	224,999	266,703
Finance expenses	(38,463)	(49,423)	(38,463)	(49,423)
Net finance income	186,536	217,280	186,536	217,280
Share of loss on equity accounted investee, net of tax	(419)	(2,143)	-	-
Profit before tax	1,534,276	1,269,672	1,534,695	1,271,815
Income tax expense	(425,954)	(361,800)	(425,954)	(361,800)
Profit for the period	1,108,322	907,872	1,108,741	910,015
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income for the period	1,108,322	907,872	1,108,741	910,015
Earnings per share -Rs.	50.84	41.65	50.86	41.74
Market value per share				
Highest price-(Rs.)			347.75	358.00
Lowest price-(Rs.)			270.00	231.00
Last traded price-(Rs.)			308.00	290.00
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 30 September	As at 31 March	As at 30 September	As at 31 March
	2024 Rs.000	2024 Rs.000	2024 Rs.000	2024 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,519,070	1,505,279	1,519,070	1,505,279
Investment property	750,000	750,000	750,000	750,000
Right-of-use assets	2,607	1,339	2,607	1,339
Investment in equity accounted investee	79,720	80,139	51,200	51,200
	2,351,397	2,336,758	2,322,877	2,307,819
CURRENT ASSETS				
Inventories	3,415,002	3,254,800	3,415,002	3,254,800
Trade and other receivables	1,730,857	1,052,677	1,730,857	1,052,677
Amount due from related companies	153,017	301,411	153,017	301,411
Value added tax recoverable	896,241	877,797	896,241	877,797
Deposits and prepayments	30,419	23,818	30,419	23,818
Financial assets measured at FVTPL	2,172,290	987,261	2,172,290	987,261
Investment in fixed deposits	2,911,592	3,914,156	2,911,592	3,914,156
Cash and cash equivalents	533,003	1,368,192	533,003	1,368,192
	11,842,421	11,780,113	11,842,421	11,780,113
TOTAL ASSETS	14,193,818	14,116,871	14,165,298	14,087,931
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	823,459	823,459	747,227	747,227
General reserves	431,136	431,136	431,136	431,136
Retained earnings	10,590,094	9,699,771	10,637,806	9,747,064
	12,062,690	11,172,367	12,034,169	11,143,427
NON-CURRENT LIABILITIES				
Employee benefits	174,298	182,332	174,298	182,332
Deferred taxation	238,046	238,046	238,046	238,046
Interest bearing borrowings	32,374	36,170	32,374	36,170
	444,718	456,549	444,718	456,549
CURRENT LIABILITIES				
Trade and other payables	274,030	818,667	274,030	818,667
Amount due to related companies	500,519	713,305	500,519	713,305
Current tax payables	837,235	893,394	837,235	893,394
Unclaimed dividends	19,998	14,722	19,998	14,722
Interest bearing borrowings	11,047	47,826	11,047	47,826
Bank overdrafts	43,581	42	43,581	42
	1,686,410	2,487,955	1,686,410	2,487,955
TOTAL LIABILITIES	2,131,128	2,944,504	2,131,128	2,944,504
TOTAL EQUITY AND LIABILITIES	14,193,818	14,116,871	14,165,298	14,087,931
Net asset per share (Rs.)	553.33	512.49	552.03	511.17

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd.)

Ms. Hemamala Karunasekara
Chief Financial Officer

(Sgd.)

U. G. Madanayake
Chairman

(Sgd.)

Suren Madanayake
Deputy Chairman

November 4, 2024
Colombo

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 SEPTEMBER 2024

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2023	218,000	567,803	431,136	8,117,753	9,334,692
Profit for the period				907,873	907,873
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	907,873	907,873
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 30 September 2023	218,000	567,803	431,136	8,883,926	10,100,865
Balance as at 1 April 2024	218,000	823,459	431,136	9,699,771	11,172,367
Profit for the period	-	-	-	1,108,323	1,108,323
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,108,323	1,108,323
Transactions with owners of the Company					
Interim dividend	-	-	-	(218,000)	(218,000)
Balance as at 30 September 2024	218,000	823,459	431,136	10,590,094	12,062,690

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2023	218,000	497,932	431,136	8,167,330	9,314,398
Profit for the period				910,016	910,016
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	910,016	910,016
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 30 September 2023	218,000	497,932	431,136	8,935,646	10,082,715
Balance as at 1 April 2024	218,000	747,227	431,136	9,747,064	11,143,427
Profit for the period	-	-	-	1,108,742	1,108,742
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,108,742	1,108,742
Transactions with owners of the Company					
Interim dividend	-	-	-	(218,000)	(218,000)
Balance as at 30 September 2024	218,000	747,227	431,136	10,637,806	12,034,169

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 SEPTEMBER 2024
STATEMENT OF CASH FLOWS

For the 06 months period ended 30 September	COMPANY & INVESTEE		COMPANY	
	2024 Rs.000	2023 Rs.000	2024 Rs.000	2023 Rs.000
Cash flow from operating activities				
Profit before tax	1,534,277	1,269,673	1,534,696	1,271,816
Adjustments for:				
Share of loss/(profit) from equity accounted investee (net of tax)	419	2,143	-	-
Interest income	(144,971)	(266,391)	(144,971)	(266,391)
Interest expense	6,026	9,936	6,026	9,936
Depreciation of property, plant and equipment	45,541	45,336	45,541	45,336
Loss/(gain) on financial assets measured at FVTPL	(80,028)	(312)	(80,028)	(312)
Amortization of right-of-use assets	372	446	372	446
Provision charged/(reversal) for obsolete and slow moving inventories	(9,264)	23,348	(9,264)	23,348
Unrealized exchange loss/(gain) on investment in fixed deposits	19,699	(16,107)	19,699	(16,107)
Loss/(profit) on disposal of property, plant and equipment	-	(5)	-	(5)
Inventory write off	1,005	1,341	1,005	1,341
Disposal of property, Plant and Equipment	26	399	26	399
Debtors write off	2,220	-	2,220	-
Termination of lease agreement	(558)	-	(558)	-
Provision for warranties	2,720	-	2,720	-
Provision for employee benefits	17,387	16,090	17,387	16,090
Operating profit before working capital changes	1,394,871	1,085,897	1,394,871	1,085,897
Changes in working capital				
Decrease/(increase) in inventories	(151,943)	294,443	(151,943)	294,443
Decrease/(increase) in trade and other receivables	(680,400)	(237,226)	(680,400)	(237,226)
Decrease/(increase) in amount due from related companies	28,282	445,981	28,282	445,981
Decrease/(increase) in deposits and prepayments and value added tax recoverable	(25,045)	10,945	(25,045)	10,945
Increase/(decrease) in trade and other payables	(547,356)	(41,651)	(547,356)	(41,651)
Increase /(decrease) in amount due to related parties	(212,787)	(97,540)	(212,787)	(97,540)
Cash generated from/(used in) operations	(194,378)	1,460,849	(194,378)	1,460,849
Gratuity paid	(25,421)	(4,390)	(25,421)	(4,390)
Current tax paid	(482,113)	(394,065)	(482,113)	(394,065)
Interest paid	(6,026)	(9,936)	(6,026)	(9,936)
Net cash generated from/(used in) operating activities	(707,938)	1,052,458	(707,938)	1,052,458
Cash flow from investing activities				
Short term loans repaid by related parties	120,112	-	120,112	-
Proceeds from disposal of property, plant and equipment	-	18	-	18
Acquisition of property, plant and equipment	(59,357)	(20,806)	(59,357)	(20,806)
Investment in Unit Trust	(1,105,000)	(50,000)	(1,105,000)	(50,000)
Investment in fixed deposits	(575,050)	(1,290,617)	(575,050)	(1,290,617)
Withdrawal of fixed deposits	1,557,915	-	1,557,915	-
Interest received	144,971	266,391	144,971	266,391
Net cash generated from/(used in) investing activities	83,590	(1,095,013)	83,590	(1,095,013)
Cash flow from financing activities				
Dividend paid	(212,724)	(138,302)	(212,724)	(138,302)
Lease payments	(338)	(633)	(338)	(633)
Loans obtained during the period	-	-	-	-
Loans repayments during the period	(41,319)	(77,148)	(41,319)	(77,148)
Net Cash generated from/(used in) financing activities	(254,381)	(216,082)	(254,381)	(216,082)
Net increase/(decrease) in cash and cash equivalents	(878,728)	(258,638)	(878,728)	(258,638)
Cash and cash equivalents at beginning of the period	1,368,150	1,290,936	1,368,150	1,290,936
Cash and cash equivalents at the end of the period	489,422	1,032,298	489,422	1,032,298

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2024 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 30 September 2024 on guarantees given to third parties amounted to Rs.113,835,546/-.
- Net finance income includes the exchange losses as follows,

	COMPANY/COMPANY AND INVESTEE			
	Period ended 30 September		Quarter ended 30 September	
	2024	2023	2024	2023
	Rs.000	Rs.000	Rs.000	Rs.000
Exchange loss	(32,437)	(39,487)	(84,443)	146,516

- The Board of Directors declared an Interim Dividend of Rs.10/- per share for the year ended 31 March 2024 amounting to Rs. 218Mn. on July 23, 2024 which paid on 21 August 2024.
- Mr. Mahinda Saranapala-Managing Director of the Company resigned with effect from 30 April 2024 and Dr. Anil Munasinghe was appointed as the Chief Executive Officer of the Company with effect from 01 April 2024.
Mr. Yudhishtan Kanagasabai was appointed as a Director of the Company with effect from 23 July 2024.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 30 September 2024		As at 30 September 2023	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200	0.26%	56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000	0.28%	61,000	0.28%
Mrs. N. C. Madanayake	- Director	-	-	-	-
Mr. Deepal Sooriyaarachchi	- Director	-	-	-	-
Mr. Yudhishtan Kanagasabai	- Director	-	-	-	-

10. Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 30 September 2024	4,399,696	20.2%	2585
Float adjusted market capitalization (Rs.)	1,355,106,368		

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

11. 20 Largest Shareholders of the Company as at 30 September 2024 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 People's Leasing & Finance PLC/Mr. Iresh Sridas	122,359	0.56%
4 Sirimalwatta S. V. W. B. K.	103,500	0.47%
5 Bank of Ceylon-No2 A/C (BOC PTF)	94,418	0.43%
6 Wijaya P. and Ramesh P.	88,685	0.41%
7 Ceylinco Shiram Capital Management Services	76,600	0.35%
8 Employees Trust Fund Board	69,848	0.32%
9 Srikantha B. W. R	69,506	0.32%
10 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
11 Madanayake H. A. S.	61,000	0.28%
12 Macksons Holdings (Pvt) Ltd	59,250	0.27%
13 Madanayake U. G.	56,200	0.26%
14 Ratnasabapathy M. R.	48,806	0.27%
15 Vasudevan S. and Vasudevan S.	43,310	0.20%
16 Leonard D.S.	41,203	0.19%
17 Wickramesooriya V.S.P & Wockramesooriya S.E	40,666	0.19%
18 Kannangara N. L. & De Livera S.S.	40,000	0.18%
19 People's Leasing & Finance PLC	40,000	0.18%
20 DFCC Bank PLC, A/c No.02	37,085	0.17%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability, incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Mr. Deepal Sooriyaarachchi Mr. Yudhishtaran Kanagasabai
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC